

Palantir Technologies Inc.

NASDAQ: PLTR | AI operating systems for government and enterprise

RESEARCH STANCE

WATCH

Exceptional operating quality is offset by a post-earnings valuation that already discounts several years of extraordinary execution.

CONVICTION

MEDIUM

High confidence in current results; medium confidence in long-duration valuation.

REFERENCE PRICES

\$125.65 / \$144.42

Regular close / late after-hours indication on August 3, 2026.

PORTFOLIO STATUS

0.0%

Not held in retirement-portfolio-13.xlsx; research-only initiation.

Prepared August 3, 2026 | Data cutoff: 8:00 p.m. ET | Underwriting status: Final, approved for publication

Portfolio source of truth: retirement-portfolio-13.xlsx | Research use only; not individualized investment advice.

Executive Summary

WATCH

Decision hinge: Can Palantir sustain 50%+ growth and elite margins long enough to justify a valuation that is already about 44x guided FY2026 sales at the late after-hours price?

Q2 REVENUE

\$1.935B

+93% year over year

GAAP OP. MARGIN

47%

\$912M operating income

FREE CASH FLOW

\$1.20B

62% reported FCF margin

EV / FY26 SALES

44.4x

Using late after-hours price and diluted shares

Bottom line

Palantir is operating like a category-defining AI platform. Q2 2026 revenue grew 93%, U.S. commercial revenue grew 149%, U.S. government revenue grew 90%, net dollar retention reached 157%, and total remaining deal value rose 83% to \$13.1 billion. The company also produced a 47% GAAP operating margin and more than \$1.2 billion of free cash flow in a single quarter.

The issue is not the business; it is the price. At \$144.42, fully diluted equity value is approximately \$371 billion and enterprise value approximately \$362 billion. That implies 44.4x management's FY2026 revenue guidance and 108x trailing free cash flow. Even a base case requiring 55% growth in 2027, 40% growth in 2028, and a 24x 2028 sales multiple produces a present value near \$128 per share.

Research posture: Maintain on the watchlist. A more attractive initial research entry zone is **\$105-\$120**, with a staged framework rather than a full position. The business can outperform this model; the stock needs that outperformance merely to earn a normal premium return.

What is working

- U.S. commercial adoption is accelerating, not decelerating.
- Government growth is broad-based across defense and civil programs.
- AIP, Ontology, and forward-deployed engineering create a deployment moat.
- Revenue growth and margins are improving simultaneously.

- \$9.2B net-cash-like liquidity supports resilience and optionality.
- RPO, remaining deal value, bookings, and NDR support forward visibility.
- Commercial revenue is becoming a larger and faster-growing engine.
- GAAP profitability reduces reliance on adjusted metrics.

What is weakening or unresolved

- International commercial revenue grew only 26% and 2% sequentially.
- Stock-based compensation remains meaningful at about 14% of TTM revenue.
- Founder voting control materially limits outside shareholder influence.

- Valuation leaves little room for growth normalization or multiple compression.
- U.S. concentration is increasing: 81%+ of Q2 revenue came from the U.S.
- Q2 EPS included a \$0.03 GAAP benefit from unrealized SpaceX gains.

Investment Thesis and Variant View

Claim	Evidence	Classification	What must remain true	Status
Palantir is becoming the operating layer for sovereign enterprise AI.	U.S. commercial revenue +149%; \$2.132B U.S. commercial TCV bookings; 157% NDR.	REPORTED FACT COMPANY FRAMING	AIP deployments must expand from pilots to multi-year production workflows.	Strengthening
The moat is implementation, Ontology, security, and FDE tradecraft - not the underlying model.	Rapid deployments, customer-specific workflows, mixed-model support, and high-stakes government use.	COMPANY CLAIM Analyst inference	Customers must continue to choose Palantir over hyperscaler, lab, integrator, and in-house alternatives.	Supported
Operating leverage can coexist with hypergrowth.	93% revenue growth, 47% GAAP operating margin, 62% adjusted operating margin.	REPORTED FACT	Gross margin remains above 80%; sales efficiency and deployment economics do not deteriorate.	Strong
Government is a durable growth engine rather than a low-growth anchor.	U.S. government revenue +90% to \$809M; Maven expansion and new programs of record.	REPORTED FACT COMPANY CLAIM	Awards convert to revenue despite procurement timing, budget, and termination-for-convenience risk.	Strengthening
Current valuation requires an unusually long runway.	Late after-hours EV/FY26 sales about 44.4x; weighted scenario value about \$132.	MODEL-DERIVED	Revenue remains above 40%-50% growth for several years and exit multiples remain exceptional.	Primary risk

Bull view

Palantir becomes the standard control plane for enterprise and government AI. AIP accelerates deployments, Ontology embeds workflows, and customers scale contracts rapidly. Growth remains above 50% through 2028 with 50%+ FCF margins.

Base view

U.S. strength persists but growth moderates from exceptional levels. International adoption improves gradually. Margins remain elite, yet valuation compresses as the company matures. Business wins; stock returns are more modest.

Bear view

Growth normalizes faster, competition increases, government timing creates volatility, and international commercial remains slow. Even strong fundamentals cannot offset severe multiple compression from an extreme starting valuation.

Variant perception

Consensus increasingly accepts Palantir's AI leadership. The differentiated view is therefore no longer "Palantir can grow." The real variant must be that Palantir can sustain both *hypergrowth and extraordinary margins for longer than the market's already aggressive expectations*. Without that duration, valuation becomes the downside mechanism.

What appears priced in

- FY2026 revenue near the raised \$8.15B-\$8.158B range and continued quarterly beats.
- U.S. commercial growth that remains well above normal enterprise software levels.
- Durable 40%+ GAAP operating margins and 50%+ adjusted free cash flow margins.
- A persistent premium to all large-cap software and defense technology peers.
- Limited dilution and no major policy, procurement, privacy, or competitive disruption.

Business, Industry and Competitive Position

Platform stack

Platform	Role
Gotham	Government and defense intelligence, operations, targeting, mission planning, and decision support.
Foundry	Commercial data integration and operational workflows across complex enterprises.
Apollo	Continuous delivery and software deployment across cloud, on-premises, edge, and classified environments.
AIP	Model-agnostic enterprise AI layer connecting LLMs to governed data, Ontology, actions, agents, and security.

Moat assessment

Data / workflow embeddedness		94
Deployment capability		96
Security / government credibility		95
Switching costs		88
Distribution scalability		74
Governance alignment		45

Why customers choose Palantir

Operational, not experimental

AIP connects models to actions and live workflows rather than stopping at copilots or demos.

Ontology

A governed representation of enterprise objects, relationships, permissions, logic, and actions creates durable workflow embeddedness.

Forward deployment

FDE teams help build and deploy use cases quickly inside complex organizations, reducing implementation failure.

Security architecture

Classified, regulated, sovereign, edge, and disconnected deployment capabilities are difficult to replicate.

Model agnosticism

Customers can use open, self-hosted, or commercial models and optimize for cost, latency, security, and performance.

Mission credibility

Long operating history in defense and intelligence provides references, clearances, and trust in high-stakes settings.

Competitive set

Competitor type	Examples	PLTR advantage	PLTR vulnerability
Hyperscalers / data platforms	Microsoft, AWS, Google Cloud, Databricks, Snowflake	Cross-environment deployment, Ontology, mission workflows, FDE execution.	Competitors bundle products, control infrastructure, and have broader distribution.
Frontier AI labs	OpenAI, Anthropic, Google DeepMind	Model-neutral operational layer and customer-controlled data/action architecture.	Labs can move up-stack and build enterprise/government deployment capabilities.
Government integrators	Leidos, Booz Allen, SAIC, Accenture Federal	Productized software and modern AI platform.	Integrators have entrenched relationships, labor scale, and contract vehicles.
Enterprise software / in-house	Salesforce, SAP, ServiceNow, custom engineering	Complex data fusion and rapid cross-functional deployment.	Customers may favor incumbent suites or internal control at lower apparent cost.

Moat caveat: A deployment-heavy model is a strength when Palantir's FDE talent creates high-value workflows, but it can become a scaling constraint if technical hiring, customer-specific work, or cloud costs rise faster than revenue.

Financial Trajectory and Earnings Quality

Quarter	Revenue	GAAP op. margin	Free cash flow	SBC / revenue	Revenue scale
Q2 2025	\$1.004B	26.8%	\$0.532B	15.9%	
Q3 2025	\$1.181B	33.3%	\$0.502B	14.6%	
Q4 2025	\$1.407B	40.9%	\$0.764B	14.0%	
Q1 2026	\$1.633B	46.2%	\$0.892B	12.3%	
Q2 2026	\$1.935B	47.1%	\$1.202B	13.7%	

TTM REVENUE

\$6.16B

Q3'25 through Q2'26

TTM OPERATING MARGIN

42.8%

GAAP operating income

TTM FREE CASH FLOW

\$3.36B

54.6% of revenue

TTM SBC

\$0.84B

13.6% of revenue

Q2 2026 operating dashboard

Metric	Q2 2026	Growth / context	Underwriting interpretation
Total revenue	\$1.935B	+93% YoY; +19% QoQ	Material acceleration and broad beat.
U.S. revenue	\$1.573B	+115% YoY; +23% QoQ	Core engine; creates geographic concentration.
U.S. commercial	\$764M	+149% YoY; +28% QoQ	Best evidence that AIP is scaling beyond government.
U.S. government	\$809M	+90% YoY; +18% QoQ	Defense/civil demand remains unusually strong.
International commercial	\$182M	+26% YoY; +2% QoQ	Weakest relative growth vector; important diversification gap.
Net dollar retention	157%	+700 bps QoQ	Strong expansion within existing customers.
Total remaining deal value	\$13.1B	+83% YoY; +11% QoQ	Supports forward visibility, but not all contract value is guaranteed revenue.
RPO	\$4.9B	+103% YoY; +10% QoQ	Commercial-weighted contracted backlog expanding rapidly.

Balance sheet and capital allocation

Liquidity: \$9.409B of cash and short-term investments versus \$0.211B of debt.

Net cash: approximately \$9.20B.

Capital intensity: Q2 capex was only \$14.6M, demonstrating an asset-light model.

Dividend: none; capital return is not part of the thesis.

GAAP quality: Q2 GAAP operating income was \$912M and GAAP net income \$1.062B.

Non-operating item: unrealized SpaceX gains contributed \$0.03 to GAAP EPS.

SBC: \$265M in Q2; economically real despite being noncash.

Dilution: diluted shares were 2.570B versus basic weighted average shares of 2.397B.

Quality conclusion: The operating model has crossed from "promising software company" to "elite cash-generating platform." The principal quality discount is no longer profitability; it is governance, dilution, customer/geographic concentration, and the sustainability of extraordinary growth.

Valuation and Expected Return Framework

REGULAR CLOSE \$125.65 Aug. 3, 2026	LATE AFTER-HOURS \$144.42 High post-report volatility	EV / FY26 SALES 44.4x Late AH, diluted basis	EV / TTM FCF 108x Based on reported quarterly FCF
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Scenario valuation

Method: project FY2028 revenue from the FY2026 guide, apply an exit EV/sales multiple, add estimated net cash, divide by future diluted shares, then discount to August 2026. Exit EV/FCF is a cross-check. All assumptions are analyst-derived.

Case	FY27 / FY28 growth	FY28 revenue	Exit EV/sales	FY28 FCF margin	Exit EV/FCF	Present value	Upside vs AH
Bear	40% / 25%	\$14.3B	15x	38%	39x	\$62	-57%
Base	55% / 40%	\$17.7B	24x	47%	51x	\$128	-12%
Bull	70% / 55%	\$21.5B	32x	52%	62x	\$212	+47%

Probability-weighted value \$132 25% bear / 50% base / 25% bull.	Preferred entry zone \$105-\$120 Improves asymmetry while retaining premium valuation.	Valuation score 15 / 100 Outstanding company, very demanding price.
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Why a DCF is unusually fragile here

- Small changes in 2027-2030 growth rates produce large valuation swings.
- Terminal multiples remain a dominant driver because current margins and growth are far above steady-state software norms.
- Dilution, tax normalization, and SBC economics matter even when headline free cash flow is high.
- The current price effectively capitalizes future success years before it is earned.

Valuation interpretation

At the late after-hours price, the market is paying a higher multiple on FY2026 revenue than this model's **base-case 2028 exit multiple**. That does not make the stock uninvestable, but it means the return thesis depends on sustained upside revisions rather than simple execution against current guidance.

Valuation discipline: Avoid chasing the post-earnings gap. A starter position is justified only as a deliberately small option on long-run category dominance, not because the current price offers an obvious margin of safety.

Catalyst Timeline and Thesis Checkpoints

- **AUGUST 4-14, 2026**
Q2 filing and earnings materials digestion
 Confirm segment details, contract metrics, share dilution, SpaceX gain treatment, updated cash-flow guidance, and any risk-factor changes in the 10-Q/8-K.
- **SEPTEMBER 30, 2026**
U.S. federal fiscal year-end
 Procurement and award activity can accelerate, but contract timing and continuing-resolution risk can create volatility.
- **NOVEMBER 2, 2026 (CURRENTLY SCHEDULED)**
Q3 2026 earnings
 Management guided to \$2.160B-\$2.164B revenue. Key test: whether U.S. commercial growth remains above 100% and Q3 expenses ramp without margin deterioration.
- **FEBRUARY 2027**
FY2026 results and initial FY2027 outlook
 The most important valuation checkpoint. The market will need evidence that growth remains extraordinary after an 82% guided FY2026 increase.
- **2027 PROGRAM MILESTONES**
Maven, government programs of record, and AIP commercial conversions
 Watch conversion of bookings and remaining deal value into recognized revenue, customer expansion, and new production deployments.

Quarterly scorecard to monitor

Metric	Green	Yellow	Red / thesis damage
Total revenue growth	>60%	40%-60%	<40% without deliberate conservatism or comps
U.S. commercial growth	>100%	65%-100%	<65% for two quarters
Net dollar retention	>145%	125%-145%	<125%
GAAP operating margin	>40%	30%-40%	<30% with slowing growth
SBC / revenue	<12%	12%-16%	>16% or renewed dilution acceleration
International commercial	>30% growth	15%-30%	<15% or sequential contraction
RPO / remaining deal value	>50% growth	25%-50%	<25% with bookings weakness

Explicit thesis-break conditions

- Two consecutive quarters of U.S. commercial growth below 65%.
- Evidence that AIP pilots are not converting into production contracts.
- NDR below 125% or material customer contraction.
- GAAP operating margin below 30% while revenue growth slows.

- Major loss, cancellation, or non-renewal in a flagship government program.
- Security, privacy, or compliance incident that undermines sovereign-AI credibility.
- Share-count growth or SBC reaccelerates materially above revenue growth.
- Competitors demonstrate equal deployment outcomes at structurally lower cost.

Risks, Disconfirmers and Governance

Risk	Probability	Impact	Leading indicators	Mitigant
Valuation compression	High	Very high	Growth deceleration, rising rates, software multiple contraction.	Exceptional growth, margins, cash and category leadership.
AI / platform competition	Medium	High	Hyperscaler/lab wins, bundling, declining NDR, weaker bookings.	Ontology, FDE tradecraft, security, government credibility.
Government procurement / policy	Medium	High	Budget delays, continuing resolutions, contract protests, program changes.	Mission relevance, diversified civil/defense programs, allied demand.
Geographic concentration	Medium	Medium	International commercial stagnation; U.S. share of revenue rises further.	U.S. market is currently the strongest and most profitable.
Governance / founder control	High	Medium	Related-party actions, compensation, capital allocation, strategic choices.	Strong operating execution and founder mission alignment to date.
SBC and dilution	Medium	Medium-high	SBC/revenue, diluted share count, new awards, insider selling.	SBC intensity has declined from earlier years; cash generation is strong.
Security / privacy / ethics	Low-medium	Very high	Breaches, misuse allegations, regulatory investigations, customer restrictions.	Security architecture and long regulated-market history.
Customer concentration / lumpy deals	Medium	Medium	Top-20 expansion slows, deal duration changes, bookings fail to convert.	653 U.S. commercial customers and broader AIP adoption.

Governance assessment

Palantir's Class F and multi-class structure gives founders effective control over major stockholder matters for the foreseeable future. This can protect long-term strategy, but outside investors have limited ability to influence board composition, compensation, mergers, or other major actions. The governance discount should not disappear simply because operating results are strong.

Accounting and earnings-quality cautions

- Adjusted metrics exclude stock-based compensation and related payroll taxes; the cost is noncash but economically dilutive.
- Q2 GAAP EPS benefited from unrealized investment gains, so operating income and cash flow are better core measures.
- Government deal value can include options and contracts with termination-for-convenience clauses; total contract value is not identical to guaranteed revenue.
- Low tax rates may normalize as tax benefits and stock-compensation effects evolve.

Composite scorecard

Growth and demand		98
Business quality / moat		93
Balance sheet / cash generation		96
Earnings quality		80
Governance		45
Valuation		15
Portfolio fit		48

Weighted composite: 69 / 100. The score is held back almost entirely by valuation, governance, and portfolio overlap rather than operating performance.

Portfolio Role, Concentration and Sizing Framework

PORTFOLIO VALUE

\$1.6M

Workbook market values

ACTIVE SINGLE-STOCK SLEEVE

\$1.2M

73.8% of portfolio

TECH / DIGITAL EXPOSURE

30.3%

Selected direct holdings

AI-LINKED COHORT

28.1%

Selected direct holdings

Current portfolio context

Ticker	Holding	Market value	Allocation
TLXIX	Nuveen Lifecycle Index 2045 Fund R6 Class	\$160,818	9.87%
AMZN	Amazon.com Inc	\$141,248	8.67%
JPM	JPMorgan Chase & Co	\$125,888	7.73%
GS	The Goldman Sachs Group Inc	\$106,886	6.56%
AAPL	Apple Inc	\$105,050	6.45%
MA	Mastercard Inc Class A	\$99,047	6.08%
XOM	ExxonMobil Holdings Corp	\$58,575	3.60%
GOOG	Alphabet Inc Class C	\$51,717	3.17%
MSFT	Microsoft Corp	\$46,461	2.85%
AVGO	Broadcom Inc	\$44,773	2.75%

PLTR does not appear in the workbook. Therefore no quantity, market value, allocation, or cost basis is attributed to it.

Role if eventually added

Potential portfolio benefit

- Pure-play operational AI and defense/government software exposure.
- Higher structural growth than most current holdings.
- Distinctive sovereign-AI and mission-system exposure not fully replicated by mega-cap platforms.

Portfolio cost

- Adds to an already large technology and AI-linked allocation.
- No dividend contribution to the retirement income stream.
- High valuation increases sequence-of-returns and drawdown risk.

Illustrative staged sizing framework

Stage	% of active sleeve	Approx. dollars	Condition
Research starter	0.5%	\$6,010	Price enters \$105-\$120 zone without thesis deterioration.
Confirmed starter	1.0%	\$12,019	Q3/FY2026 execution confirms NDR, growth and margin durability.
Maximum initial framework	1.5%	\$18,029	Only after valuation improves and at least two checkpoints support the thesis.

Retirement-plan fit: PLTR should be treated as a satellite growth asset, not an income-replacement holding or core retirement anchor. Its lack of dividend, high beta, and premium valuation require strict sizing even with a ten-year horizon and relatively high risk tolerance.

Expected return drivers by horizon

Horizon	Primary drivers	Most likely risk
1 year	Quarterly beats, FY2027 guide, government awards, AI sentiment.	Multiple compression despite good results.
3 years	AIP production adoption, commercial scale, sustained margins, international improvement.	Growth normalizes faster than valuation.
5 years	Category leadership, platform standardization, government programs of record.	Competition or platform commoditization.
10 years	Whether Palantir becomes a durable operating system for AI-enabled institutions.	Technological displacement, governance, or overpayment at entry.

Recommendation and Action Framework

WATCH

Conviction: Medium. Palantir is one of the strongest fundamental growth stories in public software, but the late after-hours valuation offers inadequate base-case asymmetry for a new position.

Recommendation rationale

- Fundamentals merit attention.** The combination of 93% growth, 47% GAAP operating margin, 62% adjusted operating margin, and 157% NDR is extraordinary.
- The thesis is increasingly validated.** Commercial AI deployments and government mission programs are scaling together, reducing the old concern that Palantir was only a niche contractor.
- Valuation is the gating factor.** A fully diluted post-earnings EV around \$362B demands sustained hypergrowth and premium terminal multiples.
- Portfolio overlap matters.** The existing portfolio already has roughly 30.3% selected tech/digital exposure and 28.1% AI-linked exposure.
- Best implementation is staged.** Research starter only at a better price, then add upon operating confirmation rather than chasing a single earnings gap.

Upgrade to Add

- Price below \$120 with thesis intact.
- Q3 revenue exceeds guide and U.S. commercial remains above 100% growth.
- FY2027 guide supports 50%+ growth.
- SBC/revenue trends toward 12% or below.

Remain Watch

- Price remains above \$130-\$140.
- Execution is excellent but already reflected in estimates.
- International commercial growth remains modest.
- Scenario-weighted return remains near or below hurdle rate.

Avoid / downgrade

- U.S. commercial growth drops below 65% for two quarters.
- NDR falls below 125%.
- Material government program loss or security incident.
- Share dilution or SBC reaccelerates.

Confidence assessment

Area	Confidence	Reason
Reported Q2 results	High	Cross-checked across earnings transcript, financial data provider and major financial press.
Business quality	High	Growth, margins, contract metrics and balance sheet strongly support the conclusion.
Competitive durability	Medium-high	Strong evidence, but AI platform competition is evolving rapidly.
Long-term valuation	Medium-low	Highly sensitive to growth duration, terminal multiples, dilution and rates.
Portfolio fit	High	Exact workbook composition confirms no PLTR position and significant existing AI/tech exposure.

Final view: PLTR belongs on the research watchlist as a potential satellite holding. The company has earned a premium valuation; the current price asks investors to prepay too much of that premium. Discipline should focus on entry price, size, and explicit checkpoints rather than debating whether the quarter was strong - it was exceptional.

Source Register, Definitions and Limitations

Primary company and regulatory sources

- **Palantir FY2025 Form 10-K:** [SEC filing](#) - business model, risks, segment mix, stock compensation, governance and financial history.
- **Palantir Q1 2026 Form 10-Q:** [SEC filing](#) - preceding-quarter financials and disclosures.
- **Palantir investor relations:** [Events and earnings materials](#).
- **Q2 2026 earnings call transcript:** Bigdata.com / Quartr transcript dated August 3, 2026.

Market and financial data

- **Bigdata.com company tearsheet (FMP fundamentals):** Q2 2026 income statement, balance sheet, cash flow, market data, analyst targets and institutional ownership; retrieved August 3, 2026.
- **Alpaca IEX snapshot:** regular and initial after-hours trade/quote context; retrieved August 3, 2026.
- **Major financial press:** MarketWatch, Wall Street Journal, Barron's, Investors Business Daily and The Guardian for same-day earnings cross-checks.
- **Portfolio source:** retirement-portfolio-13.xlsx, used exclusively for quantities, cost basis, holdings, market values, cash and allocation context.

Data-quality notes

The official Q2 2026 10-Q/8-K was not yet visible in the public SEC/IR web index at the report cutoff. Q2 actuals were obtained from the earnings call transcript and Bigdata/FMP records and cross-checked against multiple same-day financial-news reports. The report should be refreshed when the filed Q2 documents are fully indexed.

- Regular-close prices differed slightly by feed (\$125.65 FMP versus \$125.89 IEX bar), reflecting venue and feed methodology.
- After-hours prices were volatile: an Alpaca IEX trade showed \$140.96 around 4:59 p.m. ET, while Bigdata/FMP showed \$144.42 at 7:59 p.m. ET. The valuation section uses \$144.42 and discloses the sensitivity.
- Market-cap providers often use basic shares; this report uses the Q2 diluted weighted-average share count for a conservative fully diluted valuation.
- Free cash flow in trend tables uses operating cash flow less capex from provider financial statements; the company reports a closely related adjusted FCF measure.

Classification framework

REPORTED FACT

COMPANY CLAIM

MODEL-DERIVED

Reported fact means a metric disclosed in filings, earnings materials, transcript, workbook, or market-data feed. **Company claim** means management's qualitative interpretation or customer anecdote. **Model-derived** means an analyst assumption, calculation, score, scenario, target, or sizing framework.

Important limitation

This document is research and scenario analysis, not individualized investment, tax, legal, or retirement advice. Price targets are not forecasts; they are outputs from explicit assumptions that can be wrong. This report has been approved for publication to Portfolio Command Center.